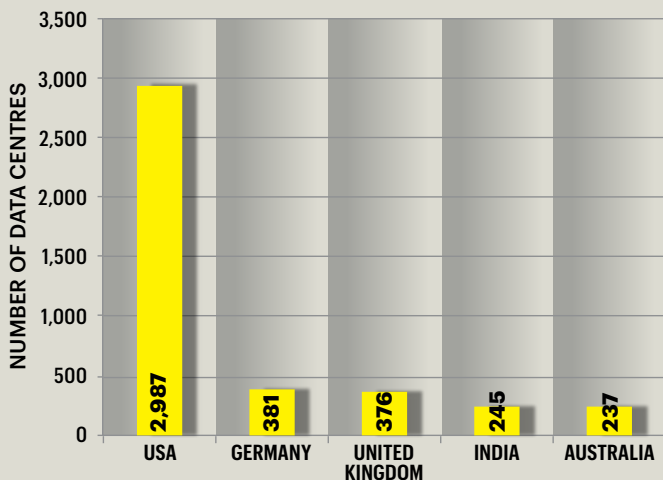


A LONG WAY TO GO

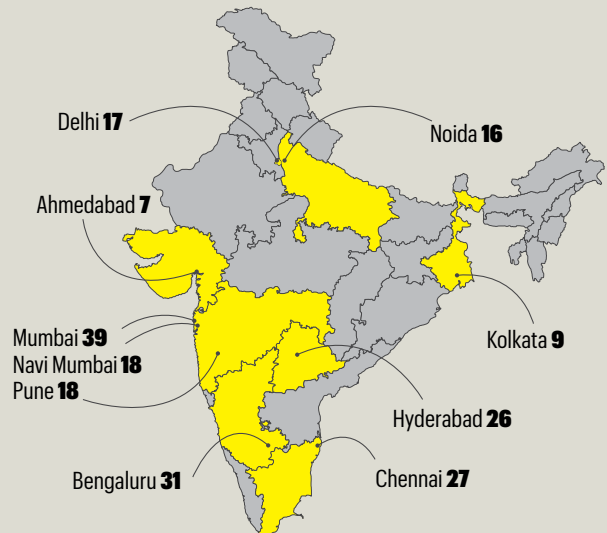
● The US is the clear leader in the data centre space. But India's capacity is expected to rise manifold in the coming years



DATA AS OF OCTOBER 4; SOURCE DATACENTERMAP.COM

TOP 10 MARKETS IN INDIA

● Data centres are still located primarily in a few metro cities, but smaller centres are emerging



FIGURES SHOW THE NUMBER OF DATA CENTRES IN EACH CITY; DATA AS OF OCTOBER 4

SOURCE DATACENTERMAP.COM

NOTE MAP NOT TO SCALE

cloud service providers, IT and technology firms, and content delivery networks (CDNs). Industries like e-commerce, telecom, financial services, and health-care, which depend on real-time data processing, will also see significant advantages."

THE COMPETITION

It is such enticing prospects that are luring large conglomerates to this burgeoning sector. For instance, the Adani Group in January 2024 announced plans to invest ₹62,400 crore over the next 10 years to build data centres in Maharashtra and Telangana. Reliance Jio and Microsoft partnered in 2019 to launch cloud data centres powered by the American IT giant's cloud platform, Azure.

In general, the industry has entered a growth phase, and CareEdge Ratings expects capacity to double to around 2,000 MW by 2026. That could translate to capital expenditure of ₹50,000 crore in this space over the next three years, the rating agency says.

The entry of real estate developer Anant Raj Ltd is

emblematic of the potential India Inc. sees in this space. Last year, it announced plans to set up three data centres with a capacity of about 300 MW by investing ₹10,000 crore over four to five years.

"The Indian data centre market is projected to expand at a CAGR of 18% from 2024 to 2029. Despite consuming 30% of the world's data, India currently has only 3% of the global data centre capacity, indicating strong future demand," says Sarin of Anant Raj.

As demand grows, firms in other sectors are spying a chance to use their strengths to cater to this space. Leading vehicle lubricants maker Castrol India has launched cooling fluids for data centres globally. Sandeep Sangwan, Managing Director of Castrol India, says in the latest analyst call that there's a lot of interest around data centre thermal management cooling fluids. "We are very early in this opportunity area. We are setting up our R&D facility. We are investing ₹500 crore in our R&D facility on thermal management looking at the future."

Global players, too, are joining in the frenzy. Manoj Paul, Managing Director of Equinix India, the Indian arm of the global data centre provider Equinix, says the